

# FEDERAL MARITIME COMMISSION

## Office of Administrative Law Judges

ORANGE AVENUE EXPRESS, INC., *Complainant*

v.

HAPAG LLOYD AG, *Respondent*.

**DOCKET NO. 21-10**

Served: February 3, 2022

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**ORDER OF:** Erin M. WIRTH, *Chief Administrative Law Judge*.

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### **ORDER ON ONE BANANA NORTH AMERICA CORP.'S MOTION TO INTERVENE**

On January 13, 2022, a motion for leave to intervene ("Motion") was received from One Banana North America Corp. ("One Banana") pursuant to 46 C.F.R. § 502.68(c)(2)(i) of the Commission's Rules of Practice and Procedure. On January 28, 2022, Complainant Orange Avenue Express, Inc. ("OAE") filed a response to the motion ("OAE Response") and Respondent Hapag-Lloyd, AG ("Hapag-Lloyd") filed an opposition ("HL Opposition").

Commission Rule 68(c)(2) provides with regard to permissive intervention:

The presiding officer or Commission may permit anyone to intervene who shows that a common issue of law or fact exists between such person's interest and the subject matter of the proceeding; that intervention would not unduly delay or broaden the scope of the proceeding, prejudice the adjudication of the rights, or be duplicative of the positions of any existing party; and that such person's participation may reasonably be expected to assist in the development of a sound record.

46 C.F.R. § 502.68(c)(2)(i).

One Banana has a pending proceeding in Docket No. 22-03, in which it alleges that Hapag-Lloyd, AG and Hapag-Lloyd (America) LLC (collectively "Hapag-Lloyd") violated sections 41102(c) and 41104(a)(10) of the Shipping Act due to their policies related to the pickup and return of Hapag-Lloyd reefer containers. Docket No. 22-03, *One Banana North America Corp. v. Hapag-Lloyd AG and Hapag-Lloyd (America) LLC*, Complaint at 7, 9. One Banana wishes to intervene in this proceeding, where OAE alleges that Hapag-Lloyd violated sections 41102(c), 41104(a)(3), and 41104(a)(8) due to its policies regarding the return of empty reefer containers. Complaint at 2, 11. One Banana seeks to participate solely for the purpose of obtaining discovery exchanged by the parties and to depose the parties' witnesses. Motion at 3. One Banana asserts that "common issues of law and fact exist between One Banana's interest and the subject matter of this proceeding." Motion at 1. One Banana further asserts that its

“participation may reasonably be expected to assist in the development of a sound record in both cases.” Motion at 4.

In response, OAE states that although factually related, its claim and One Banana’s claims “are viewed from a different lens,” because, according to OAE, its experiences are from the viewpoint of a motor carrier while One Banana’s are from the point of view of a cargo owner. OAE Response at 2. Additionally, “OAE does not object to the sharing of discovery regarding the lack of locations and inability to return empty containers, PROVIDED that One Banana has a reciprocal obligation to provide similar discovery in Docket 22-03 to OAE.” OAE Response at 3 (emphasis in original). However, to protect proprietary information, OAE objects to the automatic disclosure of discovery regarding the efforts, rates, and identity of OAE customers and potential customers concerning OAE’s inability to accept requests to retrieve full Hapag-Lloyd containers, as “such information could be subject to a protective order as between OAE and Hapag.” OAE Response at 3. OAE also objects to One Banana’s request to depose the parties’ witnesses, on the basis that such participation could limit OAE’s ability to examine witnesses; the testimony provided could disclose sensitive information subject to a protective order; and One Banana has the ability to depose witnesses in its own proceeding. OAE Response at 3-4.

Hapag-Lloyd opposes the request for intervention, asserting that One Banana does not meet the criteria for permissive intervention. Hapag-Lloyd argues that permitting One Banana to intervene would unduly broaden and delay this proceeding; One Banana overstates the extent to which there are common issues of law or fact in this and the One Banana proceeding; intervention by One Banana would not assist in the establishment of a sound record; and the position taken by One Banana appears to duplicate the position taken by OAE, making an intervention by One Banana “unnecessary and inappropriate.” HL Opposition at 2-4.

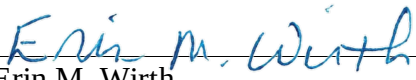
To be granted permissive intervention, the requester must demonstrate that common issues of law or fact exist between its interest and the subject matter of the proceeding in which it seeks to intervene; that intervention would not unduly delay or broaden the scope of the proceeding, prejudice the adjudication of rights, or be duplicative of the positions of any existing party; and that such entity’s participation may reasonably be expected to assist in the development of a sound record. 46 C.F.R. § 502.68(c)(2)(i).

As OAE notes, while both proceedings concern Hapag-Lloyd’s policies regarding its reefer containers, One Banana’s issues arise from the standpoint of a shipper, while OAE’s concern its experience as a motor carrier. OAE Response at 2. Thus, as Hapag-Lloyd correctly notes, the issues of law and facts in both proceedings are not as closely related as One Banana asserts. Although both complaints allege a violation of section 41102(c), OAE alleges additional violations of sections 41104(a)(3), and 41104(a)(8), while One Banana alleges an additional violation of section 41104(a)(10). Other than the similarity both proceedings share in their allegation that Hapag-Lloyd violated section 41102(c), both proceedings allege entirely different Shipping Act violations, whose adjudication will be predicated on different facts and legal theories. Thus, One Banana’s intervention would not significantly assist in the establishment of a sound record in this proceeding. In addition, OAE argues that allowing One Banana to obtain access to some of the information disclosed in discovery could be prejudicial to OAE as it could

potentially expose OAE's proprietary information subject to a protective order to One Banana. OAE Response at 3-4.

Since both proceedings share only a limited similarity, it appears that any small benefit that would be derived from allowing One Banana to participate in this proceeding is outweighed by the fact that it would unduly delay or broaden the scope of this proceeding by injecting a non-party to the discovery process; prejudice OAE by potentially exposing its proprietary information to a non-party; and as noted by Hapag-Lloyd, be duplicative of OAE's position that Hapag-Lloyd's policies with regard to its reefer containers violate the Shipping Act. Moreover, denying One Banana's request to obtain the discovery in this proceeding does not prevent One Banana from obtaining the same information through discovery in Docket No. 22-03, its own proceeding.

In light of the above factors, intervention will not be permitted. Accordingly, it is hereby **ORDERED** that One Banana's motion to intervene be **DENIED**.

  
Erin M. Wirth  
Chief Administrative Law Judge